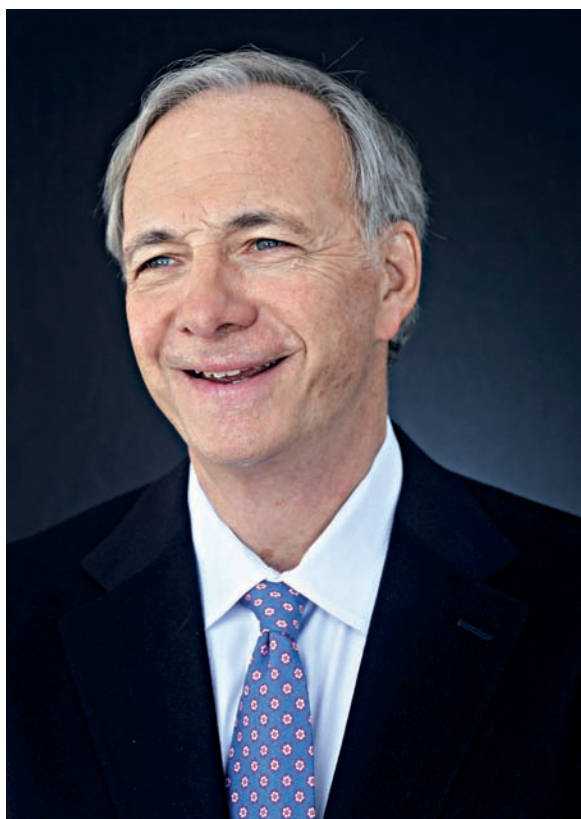
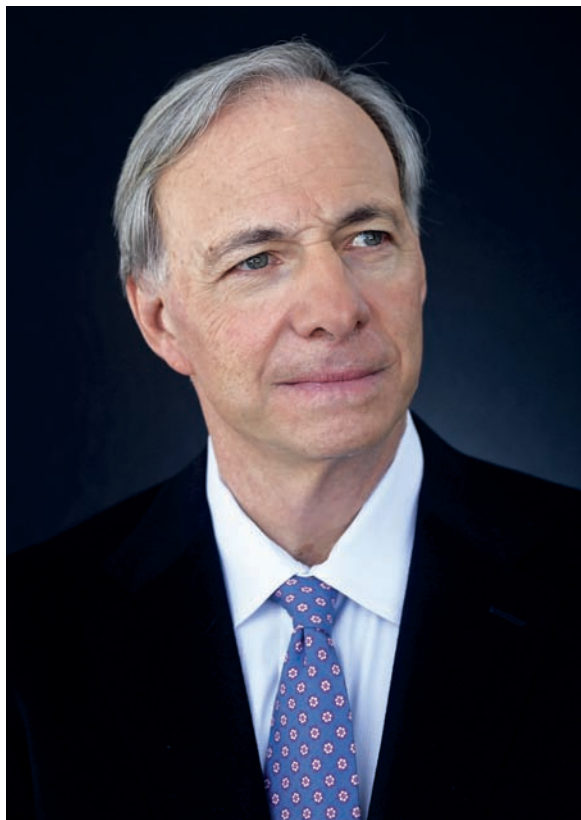




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“If I was to pick a period of time that will be particularly challenging, it’ll have to be in the vicinity of ’24-25. If this just becomes an evolutionary struggle, we’ll get through this. Even in depressions, most people remain employed; even in wars, most people don’t get killed”

cash was terrible, of course. As we now approach this level of 1.5-2 per cent above inflation, it is less bad. I would call it neutral, no longer trashy. It is harmful to other asset prices though. I think what you’re going to see is a classic sequence of events, where the interest rate rise is high enough that it is good for the creditor, but bad for the economy. And when economic conditions again become a bigger worry than inflation, you will see them [central banks] come in and print more money. So, I think it’s very important for investors over the long term to not hold debt instruments. Over the short term, I would say fixed income is neutral to slightly attractive. Over the long run, always look at your returns relative to inflation. Too many people look at just the level of returns, and they don’t pay enough attention to inflation. Generally stay away from debt assets, debt-denominated assets. Third, have a well-diversified portfolio. Diversification reduces risk without reducing expected returns, if you do it well. Also, don’t be too tactical. I think you have to realise that the markets are a zero-sum game. And to compete in the markets is more difficult than competing in the Olympics, because many more people are trying to do it and take money away from others.

Q: Ray, I want to touch upon the third point that you mentioned about the changing political power axis. We’ve lived 75 years without any kind of major war globally. Do you think that era is about to change?

A: I am a student of cycles and their mechanical cause, effect, linkages. If we take the financial issues we just talked about and the measures—size of the wealth gap, size of political gaps, amount of populism and the like; and if you look at the